

Activity 3: Prepare a Commercial Lease Renewal

TSC mapping: K1 | K2 | A1 | A3 Objective: Use market evidence and objective criteria to prepare a multi-issue lease negotiation. Expected output: A landlord-ready term-sheet proposal supported by a transparent comparison model. Primary source: <https://www.esade.edu/beyond/en/negotiation-techniques/>

Goal

Represent a retail operator renewing a suburban mall lease where rent, fit-out, operating hours and exit flexibility all affect value.

Real-world scenario

Real-world use case: commercial leases are negotiated across base rent, service charges, incentives, duration, use, fit-out and break rights. This is a realistic composite.

Orchid Activewear's five-year lease is ending. The store is profitable, but footfall is uneven and online sales have grown. The landlord seeks a higher base rent and a new three-year lock-in. Orchid values continuity but needs refurbishment support and a break option if sales fall materially.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- Current base rent is SGD 18,000 monthly; the landlord opens at SGD 20,500.
- Three comparable units range from SGD 18,700 to SGD 19,600 after incentives.
- A relocation would cost SGD 180,000 and close the store for six weeks.
- A landlord fit-out contribution of SGD 60,000 is worth more to Orchid than a short rent-free period.

Questions

1. Which comparables are genuinely relevant, and what adjustments are required?
2. What is the total value of rent, incentive, duration and break rights?
3. Which three packages are equivalent to Orchid but differently attractive to the landlord?
4. Which facts and assumptions should be disclosed, protected or verified?

Detailed activity procedure

Step 1: Define comparable criteria

Specify location, unit size, frontage, lease date, incentives and service charges before selecting evidence.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Calculate total occupancy cost

Model rent, charges, fit-out, closure cost, incentives and exit risk over the full term.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Identify interests

Translate rent, lock-in and fit-out positions into cash flow, occupancy stability, asset value and operating flexibility interests.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Set objective standards

Select defensible market and performance criteria and explain how they apply.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Create three packages

Vary rent, incentive, duration, renewal option, break clause and reporting while keeping expected value comparable.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Prepare evidence questions

List information required from the landlord and the internal evidence needed before final authority.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A landlord-ready term-sheet proposal supported by a transparent comparison model.

Acceptance criteria

The proposal compares at least three complete packages on total value and cites adjusted, relevant criteria rather than a single rent number.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026: <https://www.esade.edu/beyond/en/negotiation-techniques/>